

1**RECOMMENDATION & THESIS**

LONG Viscofan: volumes are intact and the margin trough is temporary. Target €64.2 (+20%) in 18-24 months

€53.70 → €64.2

Share price → probability-weighted target (15% bear / 50% base / 35% bull)

+19.6%

Price upside; base case assumes no re-rating

+32%

Expected total return incl. €6.68 consensus dividends (~17% p.a.)

2.1x

Upside / downside: bull +45% vs bear –21%

1

Volumes held, prices pass through

Like-for-like revenue +4.8% in 1H26 with volume growth in all four regions. Q2 revenue +4.3% in the middle of the Middle East conflict; H2-26 price increases already implemented.

2

The margin dip is cyclical, not structural

Like-for-like EBITDA margin 23.1% vs 21.4% reported: FX alone cost €14.6M of EBITDA. A +10% gas move costs only ~€1.7M of operating profit.

3

Cheap on recovery, balance sheet intact

8.9x EV / our FY27E EBITDA vs 12.0x implied by the Street's €78.7 target. Net bank debt 1.0x EBITDA funds €100M Beat'30 capex and ~€3.3/share dividends.

Variant view: the market prices Viscofan on FX-distorted trough numbers. We underwrite FY27E EBITDA of €315M (4% below consensus) at today's 10x. **Trade:** long, 30% USD overlay, stop-loss €45.6

A global casing leader with defensive volumes, structural tailwinds and new growth options

€1,263M

LTM revenue (Jun-26)

€279M

LTM EBITDA · 22.1% margin

#1 globally

Only player across all 4 casing technologies

1.0x

Net bank debt / LTM EBITDA

Why the franchise is defensive

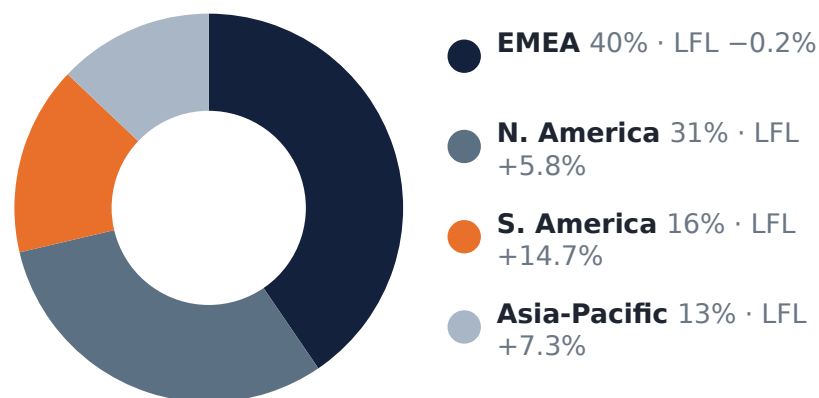
Non-cyclical demand: €5.1B casing market, 2-4% volume growth a year ($\approx 4\%$ in 2025)

Gut → collagen replacement: multi-decade shift to manufactured casings

Cellulose consolidation: rivals cutting capacity while Viscofan expands (Zacapu, Mexico)

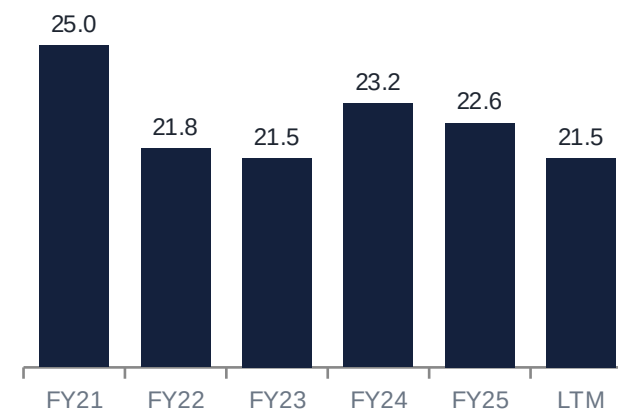
Beat'30 (2026-30): grow faster than the market, enrich mix (Health, Pet), net debt well below 2x

1H26 revenue by region



Volumes grew in every region; EMEA held back by lower energy (cogeneration) sales (+1.9% ex energy).

EBITDA margin (%)

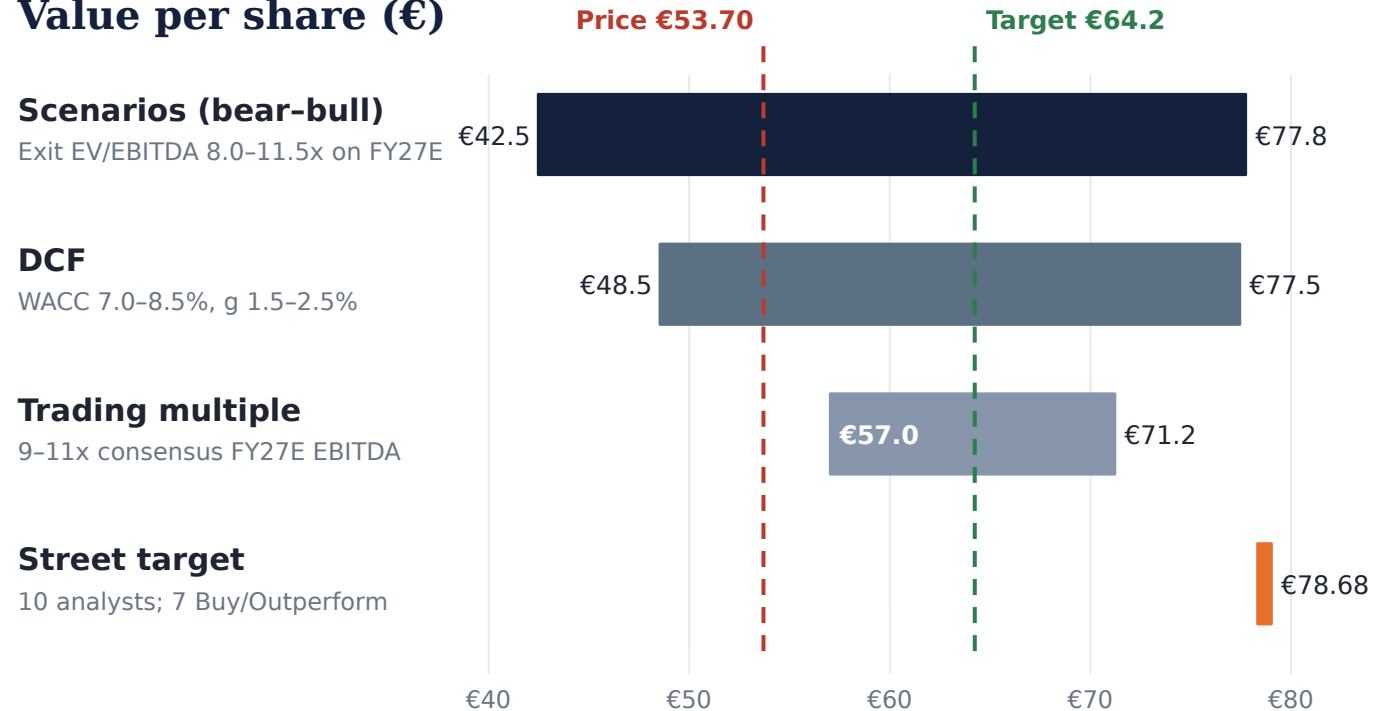


Margin dips have recovered before (2022 energy shock → 23.2% by FY24). 1H26 like-for-like margin: 23.1%.

Growth options: Health (€3.8M, +57%) and Pet treats (€8.3M, +88%) are only 1.9% of revenue. We value them in the bull case only. Energy (cogeneration, €26.0M, -15.4%) is a by-product of the plants, not a strategic division.

Valuation: €64.2 probability-weighted target. The base case needs only margin recovery, not a re-rating

Value per share (€)



Bear / base / bull (FY27E, € per share)

	Bear	Base	Bull
Probability	15%	50%	35%
FY27E EBITDA (€M)	285	315	340
vs consensus €328M	–13%	–4%	+4%
EV / EBITDA	8.0x	10.0x	11.5x
Value per share	€42.5	€61.3	€77.8
Up / (down)side	–21%	+14%	+45%

Weighted target €64.2 · +19.6%

Methodology

Anchor: exit EV/EBITDA on FY27E EBITDA (the earnings the market will price at our exit), one share, no control premium. Cross-check: DCF €61.0 (WACC 7.65%, g 2.0%, terminal value 78% of EV, implied exit 9.4x). EV bridge: net debt €318M incl. leases; 46.2M diluted shares.

- Base: margin back to ~23% (1H26 LFL 23.1%) on H2 price increases; 10.0x = today's multiple
- Bear: energy shock persists and USD weakens; de-rates toward food peers (~8x)
- Bull: Hormuz normalises, USD tailwind, Health/Pet valued. 11.5x is still below the Street's implied 12.0x

Variant view: the market is anchored on trough, FX-distorted 1H26 numbers. Catalysts arrive within our horizon

The market sees	We see	Evidence
EBITDA –7.4%: a business in decline	Like-for-like EBITDA +3.1%; the decline is translation	FX –€14.6M of EBITDA (–10.1pp); LFL margin 23.1%
Q2 cost shock (+16.8% consumption costs) is permanent	A one-off spike, already being priced through	H2-26 price increases + cost control; +10% gas ≈ €1.7M; Q2 revenue +4.3%
FX is a structural drag	FX is turning: USD strength now helps	Finance-line FX swung to +€3.7M (1H25: –€14.0M)
10x LTM EBITDA = full price	8.9x our FY27E; 8.5x consensus FY27E	Street target implies 12.0x; consensus EBITDA +18% FY26→28

Catalyst timeline

- Late Oct 2026 Q3 results**
First quarter with H2 price increases
- Feb 2027 FY26 results + 2027 guidance**
Guidance reset from a trough base
- 2027 Zacapu cellulose ramp-up**
New capacity in a consolidating market
- 2028 Czech plant start-up**
České Budějovice: Beat'30 capacity
- Ongoing Short covering**
PDT 0.50% + Marble Bar 0.57% short (quant funds)

Trade construction

Position

Long VIS (EUR)

Entry

€53.70

Target (18-24m)

€64.2

Stop-loss

€45.6 (–15%)

FX overlay

Sell USD fwd on 30% of position

Sizing

Upside/ downside 2.1x

Risks: FX and energy are the swing factors. Both are quantified, partly hedged and tracked quarterly

1H26 EBITDA bridge (€M)



Axis starts at €120M. Like-for-like includes energy sales. Source: 1H26 presentation p.9.

Risk	Impact (quantified)	Mitigants	We exit / review if
FX: USD weakness vs EUR; MXN/BRL strength on costs	1H26: –€20.5M revenue (–3.3pp), –€14.6M EBITDA (–10.1pp). FX hits EBITDA ~3x harder than revenue	Plants located in USD/MXN/BRL zones (natural hedge); USD now strengthening; fund overlay sells USD forward on 30% of the position	EUR/USD back to 1H26 averages and Q3 FX drag widens
Energy & raw materials (Middle East conflict)	Q2 consumption costs +16.8% (Q1 –2.2%); Q2 LFL EBITDA –2.4%; FY26 EBITDA guided to low end of range	H2-26 price increases + cost control; annual fixed-price fuel contracts; +10% gas ≈ only €1.7M operating profit; Cáteda efficiency capex	Q3 EBITDA margin below 1H26's 21.4%

Downside scenario: €42.5 (–21%). Energy shock persists into 2027, USD weakens again, FY27E EBITDA €285M at 8.0x (food-peer level). Our stop-loss at €45.6 caps the loss at –15%, above the bear value.

Also monitored (appendix): de-rating vs food peers, Beat'30 execution (€100M capex, H2-weighted; Czech plant 2028), US tariffs on Brazilian exports (Pet Mania, <2% of revenue).

1H26: like-for-like growth intact, reported numbers hit by FX and Q2 costs

€M	1H26	1H25	Reported	Like-for-like
Revenue	629.8	618.8	+1.8%	+4.8%
EBITDA	134.5	145.2	−7.4%	+3.1%
EBITDA margin	21.4%	23.5%	−2.1pp	−0.4pp
Operating profit	91.8	101.8	−9.9%	–
Net finance result	−1.3	−18.1	+92.9%	–
Taxes	−19.5	−14.0	−39.7%	–
Net profit	71.3	69.8	+2.2%	–

Q2 (€M)	2Q26	2Q25	Reported	LFL
Revenue	325.0	311.5	+4.3%	+4.9%
EBITDA	71.1	76.3	−6.9%	−2.4%
Net profit	37.7	38.4	−2.0%	–

- Net profit growth (+2.2%) came from the finance line: FX differences + €3.7M vs −€14.0M. Operating profit fell 9.9%, so we lead with like-for-like EBITDA.
- Effective tax rate 21.5% vs 16.7% (1H25 included a €5M US tax-loss credit).
- Divisions: Food, Packaging & Ingredients €591.7M (+1.8%); Health €3.8M (+57.3%); Pet €8.3M (+87.8%, incl. Pet Mania scope); Energy €26.0M (−15.4%).

DCF cross-check: €61.0 per share at a 7.65% WACC and 2.0% terminal growth

€M	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	1289.6	1354.0	1421.7	1485.7	1545.1	1599.2
growth	3.0%	5.0%	5.0%	4.5%	4.0%	3.5%
EBITDA	279.8	314.8	337.7	356.6	370.8	383.8
margin	21.7%	23.3%	23.8%	24.0%	24.0%	24.0%
– Taxes on EBIT (22%)	42.6	49.3	53.3	56.5	58.8	60.9
– Capex	100.0	110.0	110.0	104.0	108.0	112.0
– Increase in NWC	7.5	12.9	13.5	12.8	11.9	10.8
Unlevered FCF	129.8	142.6	160.8	183.2	192.1	200.1
PV of FCF	–	130.1	136.2	144.2	140.4	135.9

FY26E shown for reference, not discounted (conservative). End-year discounting from 1 Oct 2026.

WACC & value	
Cost of equity (Rf 3.58% + 0.85 × 5.5%)	8.3%
After-tax cost of debt	3.0%
Weights E / D (market)	89% / 11%
WACC · terminal growth	7.65% · 2.0%
PV FCF FY27–31	€687M
PV terminal value	€2451M
Enterprise value	€3138M
– Net debt (incl. leases)	€318M
Value per share	€61.04

- Terminal value 78% of EV; implied exit 9.4x FY31 EBITDA, below today's 10x
- Margins capped at 24%, inside the 21.5–25% FY21–LTM range

Sensitivities: the upside holds across most reasonable WACC, growth and multiple assumptions

DCF value per share (€): WACC × terminal growth

WACC \ g	1.0%	1.5%	2.0%	2.5%	3.0%
6.5%	€65.7	€71.7	€79.1	€88.3	€100.1
7.0%	€59.4	€64.3	€70.2	€77.5	€86.5
7.5%	€54.1	€58.2	€63.0	€68.8	€75.9
8.0%	€49.6	€53.0	€57.0	€61.7	€67.4
8.5%	€45.6	€48.5	€51.9	€55.8	€60.5
9.0%	€42.2	€44.7	€47.5	€50.8	€54.7

Exit value per share (€): FY27E EBITDA × EV/EBITDA

EBITDA \ x	8.0x	9.0x	10.0x	11.0x	12.0x
€280M	€41.6	€47.7	€53.7	€59.8	€65.8
€290M	€43.3	€49.6	€55.9	€62.2	€68.4
€300M	€45.1	€51.6	€58.1	€64.5	€71.0
€315M (base)	€47.7	€54.5	€61.3	€68.1	€74.9
€328M (cons.)	€49.9	€57.0	€64.1	€71.2	€78.3
€340M	€52.0	€59.4	€66.7	€74.1	€81.4
€355M	€54.6	€62.3	€70.0	€77.6	€85.3

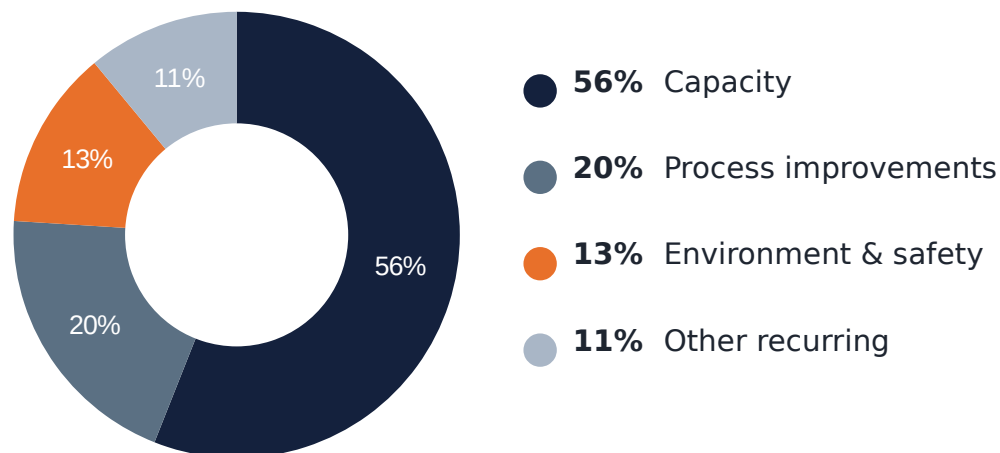
Green = above today's €53.70; red = below. Each 1.0x of multiple ≈ €6.8/share; each €10M of EBITDA at 10x ≈ €2.2/share.

A strong balance sheet funds Beat'30 capex and continued shareholder returns

Net bank debt bridge (€M)	
Net bank debt Dec-25	206.1
EBITDA	-134.5
Tax paid	+21.9
Working capital	+41.3
Capex	+34.5
FX & others	+7.0
Shareholder remuneration	+107.0
Net bank debt Jun-26	283.3

- Net bank debt / LTM EBITDA 1.0x (Dec-25: 0.71x). The increase is the €107M payout (incl. €1.00 extraordinary dividend and the buyback completed Feb-26), not operations
- +1% interest rates ≈ -€1.1M operating profit: immaterial
- Consensus DPS €3.29 / €3.39 / €3.54 (FY26-28E)

Beat'30 capex 2026E: €100M (+19% vs 2025)



US (New Jersey): collagen capacity with new technology (completed)

Mexico (Zacapu): cellulose extrusion capacity

Czech Republic: plant relocation, České Budějovice (start 2028)

Spain (Cáseda) & cross-plant: energy efficiency, water, safety

Comparables and data integrity: why we rebuilt the source analysis in EUR

Company	TEV/EBITDA	P/E	EBITDA margin
Viscofan (BME:VIS)	9.9x	15.0x	21.5%
Ebro Foods (BME:EBRO)	7.5x	12.5x	13.3%

- Direct casing peers are few and mostly private: Devro was taken private by SARIA (2022); Shenguan (HK:0829) is a small Chinese collagen player; Viskase is controlled by Icahn. Hence multiples are a secondary check
- The 30% premium to Ebro reflects ~8pp higher margins and niche leadership. Our base case keeps it; our bear case removes it
- The broad agri/food peer set in the source reports (salmon, olive oil, agri-commodities) was dropped as not comparable

Corrections to the source reports

- Source DCF and comps mixed USD figures with a EUR share price; we rebuilt everything in EUR
- USD consensus implied +8.6% FY26 revenue growth (FX translation); we use EUR consensus (EBITDA €300.5M / €328.1M / €355.9M)
- Leverage: the source's 29% debt weight was book-based; market weights give 11%
- €21.9M in the debt bridge is tax paid, not FX; the Middle East shock is 2026, not 2025
- Devro is owned by SARIA, not Shenguan

Team contribution: HF & Quant A



Carmen Gavilanes

[role to confirm]



Eduardo Fortemps

[role to confirm]



**Ignacio Queipo de
Llano**

[role to confirm]



Jaime Gefaell

[role to confirm]



MiM student

[name & role]

Roles: Company & market · Thesis & variant view · Valuation · Risks & downside · Slides & storyline